

EDWARD C. JOHNSON, II

1898–1984

Edward C. Johnson, II founded the Fidelity Management and Research Company in 1946 and ran the firm until relinquishing the reins to his son in 1974. That year the company had 14 funds and was managing about \$2 billion. Today it is the largest mutual fund company. He began his investment career in the 1920s, and in all those years, he relied primarily on intuition, not science. "I have been absorbed and immersed since 1924," he said, "and I know this is no science. It is an art. Now we have computers and all sorts of statistics, but the market is still the same and understanding the market is still no easier."

Johnson was mostly concerned with satisfying his customers and always putting them first. He actually felt a twinge of guilt if he believed the firm made too much money. Take one year in the mid-1960s, when Fidelity made \$5.5 million: "A company like ours should never make this much money," he said. He felt that way because Fidelity didn't manufacture anything; it was "just a business of ideas." Johnson made two points when it came to investing: "First . . . make only the investment decisions about which you have a reasonably high level of conviction. It is a simple, but often overlooked lesson: you cannot turn a profit if you are always second-guessing yourself. . . . Second, cut your losses and cut them fast; do not listen to reason or emotion, just say good-bye."

According to his son, Edward III, Johnson always espoused unorthodox thinking. "He believed that being too secure led to trouble. From the firm's earliest years, he encouraged us to oppose orthodox thinking." But you also had to respect the forces at work. "My father had given me a healthy respect for the market—a respect that came from his own experience watching a whole generation lose money in the late 1920s and 1930s." Johnson's key to success was being a contrarian; he tuned into the market forces, and when people were timid, he was bold, and vice versa. In *Contrary Opinion in Stock Market Techniques*, he explains why you have to pay attention to the "tuning fork" inside your own body.